



START-UP BUSINESS PLAN

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I. Executive Summary

Present is a revolutionary approach to gift-giving, an industry-disrupting solution to the unspoken yet massive hassle of gift cards. Each year, up to \$3 billion are wasted - unredeemed money that goes without serving the purpose of gifting. Present promotes financial acumen and a healthy way to donate unutilized funds towards users' charities of choice. **Our mission is to present the world with a choice to put every gifted penny to a good cause.** Present is a digital wallet, a gift card marketplace, and a charitable instrument – all in one. Present is truly the better way to gifting and is the disrupter needed in the nearly \$300 billion industry of gift cards.

Unique Solutions

- Gift card marketplace with the widest choice of cards
- Never lose any funds on your Gift card – donate unclaimed funds towards charity
- A practical and convenient way of using gift cards
- Recurring gift-giving

Who Is It For

- Demographic
 - Anyone, specifically targeted for ages 16 - 40
- Geographic
 - North America
 - Plans to expand internationally
- Psychographic
 - Tech-enthusiasts
 - Retail, Gamers

How Do We Make Money

- Transaction Fee - for gift cards purchased on the marketplace
- Advertising Fee - for targeted advertisements on the marketplace

What Is Our Social Impact

- Redirecting unutilized funds from gift cards will benefit society through meaningful donations (45 million USD by Year 2)
- Reduced carbon footprint from eliminating the need for plastic cards
- Promoting financial responsibility

At Present, we strongly believe that we have an industry-disrupting product and are thrilled at the uptake the company is seeing among all our target segments - users, retail partners, and networks of charities. At this early stage, we are vindicated on our financials and see strong tailwinds that will drive our execution in the upcoming years. To accelerate our growth, we are seeking an additional investment of **250,000 USD** from partners who are passionate about the company's mission. These funds will be utilized towards driving greater awareness through advertising channels and communicating activities to onboard more partners on the marketplace. At this early investment stage, we would offer **5% of the equity** (preferential shares) in our company, along with a seat on the Board of Directors.

II. Problems

The chief problems users see with their gift cards that we aim to tackle are as follows:

- **Impracticality:** Despite being the most requested holiday gift for 13 years and counting, gift cards are excessively inefficient and impractical¹. Users forget about the card, they lose the card, or their card expires without them knowing. Present surveyed a sample of people in our target market asking for their opinions on plastic gift cards, to which many described as impractical and inefficient. Many individuals expressed their frustrations about the topic, stating that they had plenty of gift cards lying in the bottom of their closet, which they only found out about months later, after the expiration dates. In conclusion, people find these plastic cards an unnecessary nuisance and need a better method to store their gift cards.
- **Unused Gift Cards:** Unclaimed redemptions are a waste of resources for the awardee since the money from the gifter is not transferred. Unclaimed gift cards benefit the issuing company, not the customers.
- **Leftover Change:** After a certain amount of transactions are completed with a gift card, eventually, there will be too small a balance to purchase anything from the retailer/restaurant. Most people never spend this money, deeming this money useless. Some companies do not allow customers to partially purchase a product with that money and pay for the rest on their own, forcing customers to waste their money. Another issue with gift cards is that consumers can never easily figure out how much money is left on a gift card.
- **Environmental Impact:** Furthermore, gift cards are responsible for an extensive amount of plastic waste, damaging the environment. In 2013, physical gift cards had an estimated annual CO₂ footprint of 585,300 tons². That's more than all the daily air flights in Europe combined.



Figure-1: Data Visualization by GiftRocket

Present provides users with clever solutions to these problems while being fully secure and easy to use.

¹ According to the Mercator Advisory Group, up to \$3 billion worth of gift cards goes unused per year. estimate conservatively that at "any given time, 10% to 19% of gift card balances remain unredeemed - and around 6% of all gift cards are never even used". According to a report conducted by KSL TV, one of Utah's most prominent news stations, between 2005 and 2015 alone, unredeemed gift card balances amounted to an estimated \$45.7B.

² They also write that 10 billion gift cards created annually equal 50,700 tons of plastic that will either enter a landfill, be incinerated, or require additional energy and production costs to recycle, since each PCV weighs 5.07g.

III. Customer Segments

Demographic (audience): While Present can be used by anyone, we will market our product to younger and middle-aged audiences, ages 16 to 40. This age range also tends to be more performative and activist, and we believe that these people would gravitate towards Present because of our unique humanitarian touch of passing on unutilized funds to social causes. We plan to advertise digitally on social platforms to attract tech-savvy individuals since they would be more likely to download our digital wallet. Our first round of advertising will be social media, specifically Instagram, Facebook, Snapchat, and Youtube.

Geographic (area): We plan to start operations at Present within urban and suburban North America regions which has a higher concentration for gift cards usage. We plan to expand in Year 3 to new regions with a younger demographic of users - namely India, Brazil, and Europe.

Psychographic (lifestyle): Present predicts that our customers will be tech-savvy people who have a digital wallet. These individuals will be more likely to adopt our service because they would not want to own any loose cards, and instead, would want a solution to sync all of their monetary transactions on one device. Furthermore, more altruistic individuals would gravitate towards our service because of Present's unique proposition of donating all leftover funds from gift card transactions to charities.

Who we cater to:

Our unique solution to gift-giving solves the pain areas for each of the stakeholders involved in the transaction of a physical gift card.

As a Gifter, you will be able to:

- Browse gift cards from a large section of participating merchants that are enrolled on the Marketplace.
- Add a personalized message to your recipient

As a Gift recipient, you will be able to:

- Receive gift cards from your connections and their personalized messages
- See your balances on the various gift cards
- Redeem at any store where your physical gift cards can be availed
- Load physical gift cards into your wallet
- Be informed of any expiration dates for your funds
- Donate any denomination of your gift card proceeds to a charity/cause of your choice

As a Merchant on this platform, you will be able to:

- Enlist your gift cards on the marketplace
- Add marketing/promotions on gift cards
- Avail segmentation based targeting for gift card purchases

IV. Unique Value Proposition

First to market, the Present Wallet **provides users with a smart, easy, and fully secure digital alternative to storing gift cards while also encouraging users to donate leftover cash from their gift cards to the charity of their choice.** The unique value proposition is the ability to store and redeem various merchant gift cards in one place. This one-of-a-kind model promotes financial wellness and encourages donations to the less fortunate.

Present has already established involvement with over 50 charities all around the world, including Save the Children, Action Against Hunger, World Medical Relief, and more well-known charities.

Present has multiple unique features that uplift the overall experience of the digital wallet, such as the ability to send a gift card to a contact, ability for users to consolidate balances across multiple cards, the notifications when a gift card is about to expire, recurring gift giving, the charity aspect, etc. Moreover, we will be the marketplace with the widest selection of gift cards and we have introduced a unique recurring gift-giving model described later.

V. Solutions

We built our service from the ground up to combine the ubiquity of gift cards with the convenience of a digital wallet. The solution consists of two components: 1) a robust/secure digital wallet that can store/manage any participating gift cards and 2) a Marketplace comprised of merchants and charity organizations.

The digital wallet is a highly-secure application that can be downloaded on any platform of your choice, and is the primary ingress for “gifters” and “giftees”. The wallet is integrated at the backend with a merchant platform to provide a seamless redemption experience at the store. The wallet allows purchases of gift cards from the ever-growing marketplace, and also sideload offline purchased gift cards through the 2D barcode printed on the gift cards. When the gift cards are added to the wallet, users can see their available gift cards, expiration dates, and total denomination of funds available for use. Users can set preferences for the donation of funds from their gift cards as a percentage of the funds available from them to a charity of their choice.

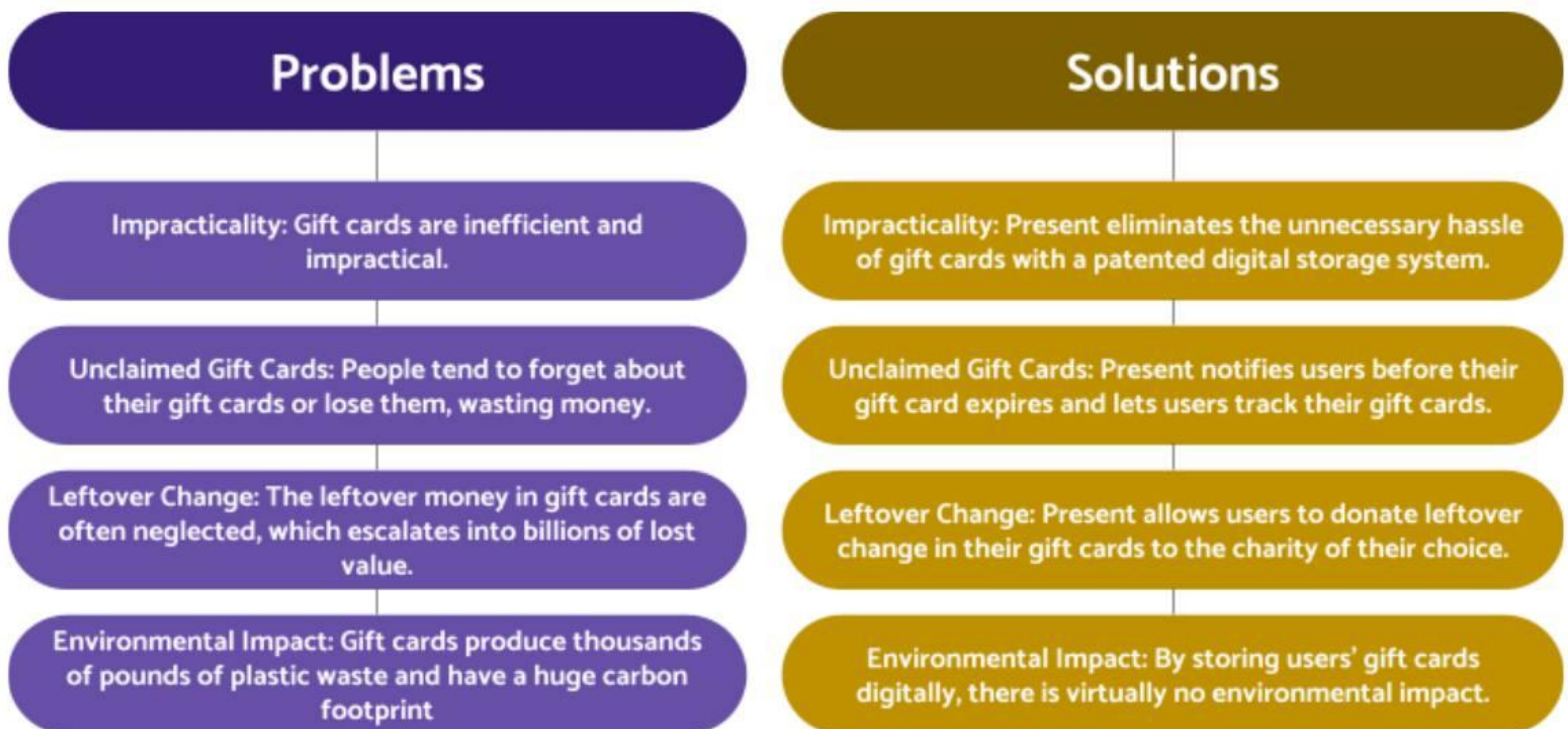
The wallet allows purchases towards gifting cards through their account, including recurring purchases. Users can now set up their friends' and loved ones' birthdays, anniversaries to set up recurring gift card purchases for them. Present avails the charity-directed funds, and unutilized funds from the users' wallets that were set by their preferences by consolidating the total donations towards the issue of their donations to charities. We do this by integrating with a wide marketplace of donation channels. The upside to a company for integrating with the platform is in Present's marketplace. Companies can advertise their gift cards on our marketplace, where we can drive purchases of digital gift cards, benefiting them.

Present's model for donations is performed in two ways:

1) Towards purchase from the gift card issuers by consolidating unutilized/elected funds

- As an example, consider 20,000 Starbucks cards stored in Present have a total of \$3200 worth of donatable funds. Present issues these funds as redeemable credit at Starbucks towards Sick Kids Foundation (a charity partner). In this way, the companies are not directly taking a hit on their revenues because the money flows back into purchases for the company.

2) Direct attribution towards the charities from the merchant - We disburse funds towards the charity for the applicable donation from Merchant cards managed in Present. We do this in a manner that Present acts only as a facilitator and the donation goes directly from the gift card merchant directly to the charity. This way, we are able to attribute the merchant for the donations, which is a PR win for them.



VI. Channels

Present plans to utilize the following pathways to reach customers.

Distribution Channels: Present will be able to reach customers on an online platform. Customers will be able to download the Present app on their mobile devices from the App Store. Present utilizes a direct channel, currently supporting Apple and Android cellular devices. We are also working on expanding the omnipresence of our solution via direct integration within popular social media platforms by offering gifting directly through a native experience.

Advertising Channels: We believe that our unique approach to gift-giving, and promoting financial wellness will generate a strong word of mouth campaign and awareness for the product. We also plan to reach out through media outlets in explaining our unique position to generate greater buzz for users. In addition, Present will target those who regularly use social media platforms such as Instagram, Facebook, Snapchat, Youtube, TikTok, etc. through running ads on their social media feed³. The company plans on running ads to raise awareness about the billions of dollars wasted per year on unused/expired gift cards, with a call to action to download the app.

Communication Channels: We will extensively use social communication channels such as WhatsApp, Reddit, and Twitter to gauge interests/discussions on Present. Media outlets can reach via email, and direct phone lines to learn more about the company's objectives.

VII. Revenue Streams

Revenue Model: Present's revenue comes from two sources:

- A low 1% transaction fee is obtained through the gift card issuer at the time of purchase. Eg. when a user buys a 5\$ Starbucks gift card on Present app/website, Present will obtain 5 cents from Starbucks. We expect the transaction fee to be the primary driver of revenue.
- Advertising revenue realized from gift card presentment on the Sponsored products on the app. Present will offer sponsored advertisements for gift cards based on the user intent to purchase and charge an advertising fee based on impressions/click-throughs (CPC). As usage and adoption of the marketplace grow, we expect the ad revenue to grow and become a primary source of revenue by 2030.

We evaluated other options such as an App Download fee for users, a low Transaction fee towards Redemptions - but those options did not seem favorable from our Market and User Research. The company's current and projected revenues are shown in Table: Revenue. *(All figures in USD)*

Revenue	Q4, 2021 (actuals)	Q1, 2022 (estimated)	FY 2022 (estimated)	FY 2023 (estimated)
Advertising Revenue	n/a	\$750	\$9,468.75	\$374,677.91
Realized from purchase transaction fee (based on projections of cards sold)	\$20 (2,000 card purchases)	\$640.00 (64,000 million card purchases)	\$17,340.00 (based on 60% incremental QoQ growth)	\$991,992.12 (based on 75% QoQ growth + expansion to new geographies)

Lifetime Revenue: Present's unique model towards gifting allows for longer retention of customers, and combined with the first market advantage we expect a longer rate of retention from Customers. Some of the early plans towards retention include recurring Gift buying - a user can set

³ According to renderforest.com, as of 2018, "46% of users will take some action after viewing YouTube advertisements" (Schroeder). With over 2 billion users on YouTube, it provides a great platform for Present to grow, expand, and increase sales. Furthermore, Present also plans to expand via word of mouth.

up recurring issues of Gift Cards for birthdays, anniversaries, holidays - which will provide deeper retention into the service. While we expect other competitors to move into this space, the recurring purchase programs should give a stronghold advantage with user retention. Annualized proceeds from a user are expected to be 30 USD/year in the launch countries.

VIII. Cost Structure

Customer Acquisition Costs: Present's CAC is currently zero dollars because we are growing solely from word of mouth. However, after the investment, we estimate our cost to acquire a user to be between \$3 and \$6. We estimated these values by studying the costs for advertisements and analyzing reports conducted to see the return on these marketing campaigns. We also looked at the acquisition costs of companies with similar business models to us, like PayPal, and compared that to the average CAC for an app, provided by ironSource.

Distribution Costs: The app development process consists of development, deployment, and app maintenance, as reported by BuildFire. Present's cost for hardware, including app development and deployment is \$75,000. Present's specific functional services, like Push notifications, cost \$240 annually. Our infrastructure costs come from our combination of infrastructure services like servers and data storage, costing the company \$2,400. Finally, our IT support services cost our business \$2,040.

Operating Expense	Cost (USD)
Functional Services - Push Notifications	\$240 / year
Infrastructure Services	\$2,400 / year
- Servers	\$1,200 / year
- Data Storage	\$360 / year
- Content Delivery Network (CDN)	\$360 / year
- App Development Tools	\$480 / year
IT Support Services	\$2,040 / year
- iOS and Android Updates	\$1,000 / year
- APIs	\$500 / year
- Bugs + Maintenance Costs	\$540 / year
Total	\$4,680 / year
Capital Expense (hardware)	\$75,000 (one-time)

Human Resources Costs: Present intends to hire six full-time employees in total to efficiently operate the company. Two of these employees will make up the customer support system to examine reviews and answer questions. Present will hire one marketing professional to drive acquisition, and branding for the product, and enlist new companies into the program. Finally, we plan to hire three full-time developers who will be responsible for the initial product, ongoing operational support, and also new integrations as we sign more clients on the platform.

Labor	Salary
Developer (75K) x 3	\$225,000 / year
Sales/Marketing (75K) x 1	\$75,000 / year
Customer Support (40K) x 2	\$80,000 / year

(All figures in USD)

Additional Costs: Present will incur additional costs towards promotional activities. This will include the travel of personnel to conferences where we can present the company's vision, seek funding, and partner enrolment. We also envisage additional costs towards foreign exchange hedging, and currency conversions when working with international charities. We are seeding the company with 150K of initial funding through personal investments and early equity offering to friends and family. Personnel costs at startup are absorbed through founders who are Software Engineers, doubling towards roles in marketing and support.

Activity	Cost (USD)
Travel - 3 day trip	\$1,380
- Air	\$700
- Hotel	\$350
- Car Rental	\$150
- Meals	\$180

IX. Key Metrics

Present will focus on select key metrics to monitor the company's performance in the market.

Number of App Downloads and Installations: The number of times that our digital wallet gets downloaded to a device is perhaps the simplest and most obvious way to track its popularity among users. Tracking app downloads is vital, as this KPI is the foundation that most KPIs are built on. However, the fact that someone downloaded the app does not mean that they completed the setup process. Therefore, we are also tracking actual installations on the various devices that our audience uses.

Gift Card Purchases: This metric tracks the total number of purchases made in the marketplace. This does not include the offline added gift cards.

Engagement - Redemptions: This metric tracks the total number and value of redemptions as a percentage of the gift card value loaded to the wallet. The metric will be a direct measure of the engagement of users with a higher number indicating the value to the merchants, and users.

Engagement - Donations: This metric counts the number/amount of user donations performed via the app. We project an average of 18% of gift card value donated to charity.

Average Number of Cards Stored per Wallet: This metric denotes the rate of engagement within our audience, showing us whether most of our users are repeat users versus one-time transactors. This measurement is crucial in determining the success of our company since the higher this rate, the more positive implications for future earnings from the app.

X. Competitive Advantage

A direct competitor to Present is Gyft, another online gift card storage company. We see very favorable advantages for ourselves against Gyft. Aside from Gyft's poor rating of 3/5 stars on the App Store, Present's model in driving greater convenience with Gift Cards for several occasions while promoting financial acumen, and charity are stand-out features not currently offered elsewhere. Present enables users to load their cards offline - where users can load their stored purchased gift cards into the wallet - where Gyft doesn't. Present's financial model is also focused on advertising revenues, with a wider redemption experience which is a unique proposition in the market. Users see Present's charity model very favorably.

XI. Conclusion

In conclusion, we are encouraged and thrilled by the initial response to our product in the limited Beta with users and partners. We are even more bullish about the social impact we project to make USD 45 million by Year 2 of operations (Appendix 1). The company's fundamentals look solid to drive the growth and impetus towards the project's ambitions. We invite you to join forces with us in our mission **to present the world with a choice to put every gifted penny to a good cause.**

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Appendix

Appendix-1: Table: 2-Year Revenue/Donation Projections

Quarter	Users (indicated per downloads)	Partners (Merchants + Charities)	Advertising Expenses	CAC	Advertising Income	Projected Number of Transactions	Transaction Fee Income	Total Revenue	Other Expenses	Realized Profit	Estimated Cost of Gift Card	Donations Made
Q4-2021	1000	125	\$0.00	\$0.00	\$0.00	2000	\$40.00	\$40.00	\$135,850.00	-\$135,810.00	\$10,000.00	\$1,800.00
Q1-2022	8000	800	\$22,500.00	\$2.81	\$750.00	32000	\$640.00	\$1,390.00	\$56,170.00	-\$77,280.00	\$160,000.00	\$28,800.00
Q2-2022	20000	1250	\$61,875.00	\$5.16	\$1,125.00	60000	\$1,200.00	\$2,325.00	\$58,978.50	-\$118,528.50	\$300,000.00	\$54,000.00
Q3-2022	50000	2000	\$170,156.25	\$5.67	\$1,687.50	150000	\$3,000.00	\$4,687.50	\$61,927.43	-\$227,396.18	\$750,000.00	\$135,000.00
Q4-2022	125000	7500	\$127,617.19	\$1.70	\$5,906.25	625000	\$12,500.00	\$18,406.25	\$65,023.80	-\$174,234.74	\$3,125,000.00	\$562,500.00
Q1-2023	312500	12000	\$95,712.89	\$0.51	\$14,765.63	937500	\$18,750.00	\$33,515.63	\$68,274.99	-\$130,472.25	\$4,687,500.00	\$843,750.00
Q2-2023	859375	17200	\$119,641.11	\$0.22	\$36,914.08	2578125	\$51,562.50	\$88,476.58	\$71,688.74	-\$102,853.27	\$12,890,625.00	\$2,320,312.50
Q3-2023	2363281	19189	\$149,551.39	\$0.10	\$92,285.20	7089843	\$141,796.86	\$234,082.06	\$75,273.18	\$9,257.49	\$35,449,215.00	\$6,380,858.70
Q4-2023	6499023	22000	\$186,939.24	\$0.05	\$230,713.00	38994138	\$779,882.76	\$1,010,595.76	\$79,036.84	\$744,619.68	\$194,970,690.00	\$35,094,724.20